

ANAROCK

VALUES OVER VALUE

REAL ESTATE
**CONSUMER
SENTIMENT
SURVEY**
H1 2023



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TRENDS IN INDIAN REAL-ESTATE

Foreword



The momentum in Indian residential real estate remained strong in H1 2023 with housing sales in the top 7 cities creating a new peak. As per ANAROCK Research, H1 2023 saw all-time high housing sales of approx. 2.29 lakh units across the top 7 cities despite rise in both interest rates and housing prices. This is over 63% of the total sales recorded in entire 2022.

Interestingly, against general expectations, the impact of the global economic headwinds including layoffs by large corporates is yet to be felt in the Indian housing sector as demand remained undeterred across the top 7 cities in the first half of 2023.

Amid this strong growth and momentum in the Indian housing sector, we tried to gauge the mood of the prospective homebuyers and analyse their preferences in the changing scenario. We saw that many consumer preferences that altered significantly post the advent of the pandemic (H1 2020) are either continuing or have seen some change even when things have returned to normalcy. For instance, demand for 3BHKs continues today, rather it has seen some growth with over 48% respondents now preferring to buy a 3BHK home.

Notably, some trend reversals are also seen to be happening. City-centres and suburban areas are once again witnessing a rising demand, particularly by those buyers who are buying a home for self-use. However, investors – whose numbers although have grown significantly today – continue to prefer the peripheries for buying. The survey findings indicate that 61% investors largely prefer peripheries where scope for price appreciation is still more while 39% end-users prefer the suburban areas or city-centres for buying where they can live presently and commute to their workplace.

Demand for mid and premium properties (priced >INR 45 lakh budget) is also at an unprecedented high. In contrast, demand for affordable housing saw a decline – from 40% in H2 2020 to 28% in H1 2022 and further down to 25% in H1 2023. The impact of inflation and economic slowdown on the target audience of affordable housing led them to adopt a cautious ‘wait-and-watch’ approach. Inflation has been one of the major concerns world-wide and here in India too its impact can be felt by the homebuyers. At least 66% survey respondents cited that inflation had a major impact on their disposable incomes. This number has risen from 61% in the preceding year’s survey (H1 2022), indicating a heightened financial strain on individuals and households.

Besides these, we also intercepted several other interesting trends and I sincerely hope you enjoy reading these in the survey.



MR. ANUJ PURI
ANAROCK | Group Chairman

Survey Methodology



ANAROCK Consumer Sentiment Survey is an attempt to gauge homebuyers' preferences in the prevailing scenario, invariably leading to emergence of significant trends in the Indian residential real estate industry.

The main aim of the survey is to provide all stakeholders – consumers, developers, investors, sellers, and owners including local and expatriates – deeper insights into the Indian property market purely from a consumer perspective. This survey was conducted by ANAROCK Research between Jan to June (2023). The online survey saw nearly 5,218 participants responding to it via different digital sources including email campaign, web link and messages.

The sample was carefully selected so that it would give a relatively fair representation of the overall population demographics in terms of geographical distribution, gender, and age. Thereafter, the answers collected were analysed in-house and data was correlated to the present economic conditions. The views expressed in the report are completely unbiased.



5,218
Respondents



50%
Male | Female



23-78
Age

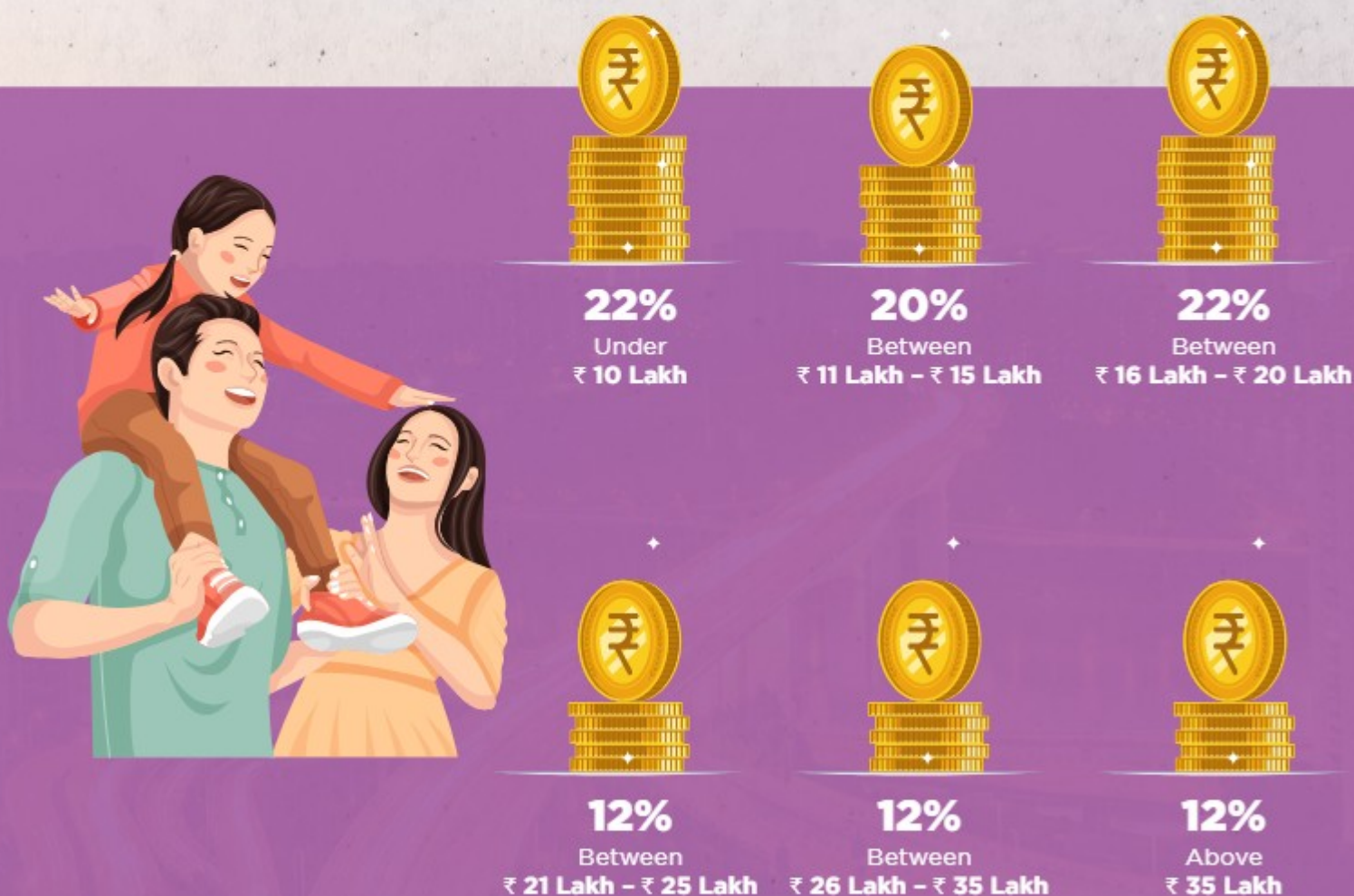


14
Cities

Demographic Profiling



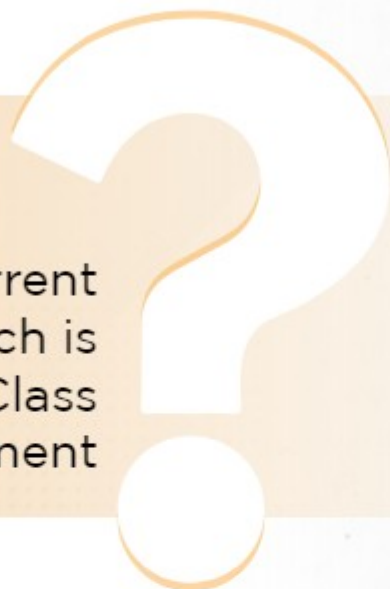
Annual Family Income



Best Asset Class for Investment



As per the current
situation, which is
the best Asset Class
for Investment



Real estate emerged as the most preferred asset class for investment for over 60% respondents, up 3% against previous survey.

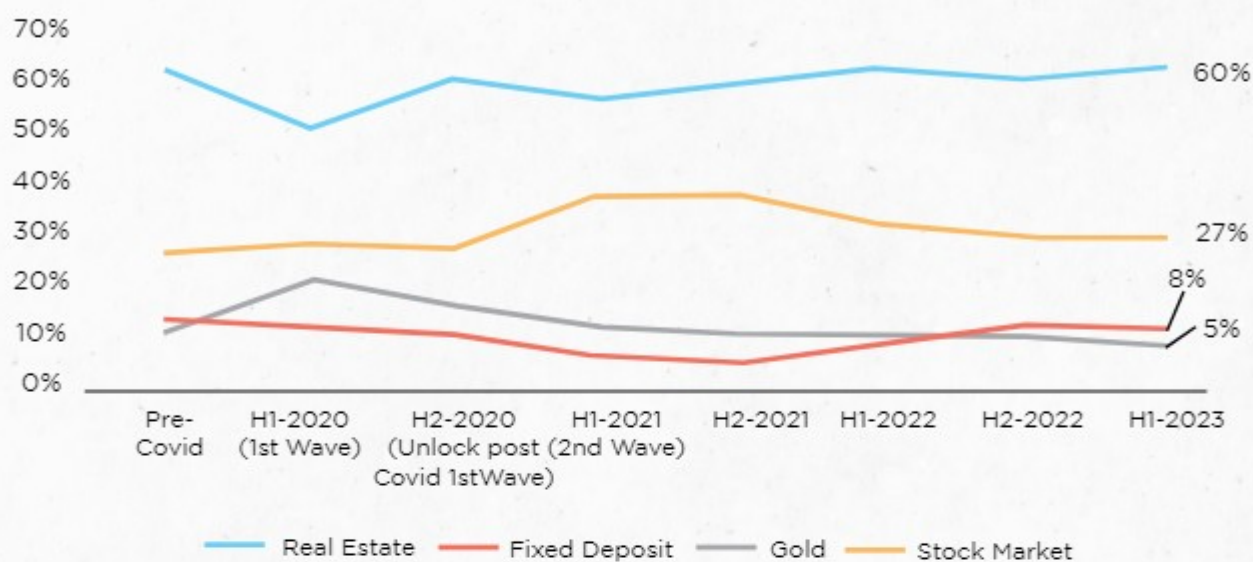
The sentiment towards real estate as the best asset class has seen a 3% surge compared to the previous survey. Over 60% respondents now consider it as the best investment option, followed by the stock market which is favoured by 27% in the current situation.

In contrast, preference for gold witnessed a consistent dip, ranking at the bottom of respondents' investment options despite the surging gold rates. Currently, only 5% respondents view gold as their preferred choice for investment.

Notably, sentiments towards Fixed Deposits (FDs) have experienced a positive boost in the wake of rising interest rates by banks. Over the past two years, FDs as an asset class have witnessed a noteworthy 5% surge in preference among respondents, with 8% of them now favouring FDs.

The current interest rates for FDs go as high as 7.25% depending on banks, senior citizen, tenure etc. This is the key reason that has influenced investors and contributed to the growing appeal of FDs as a reliable and safe investment option.

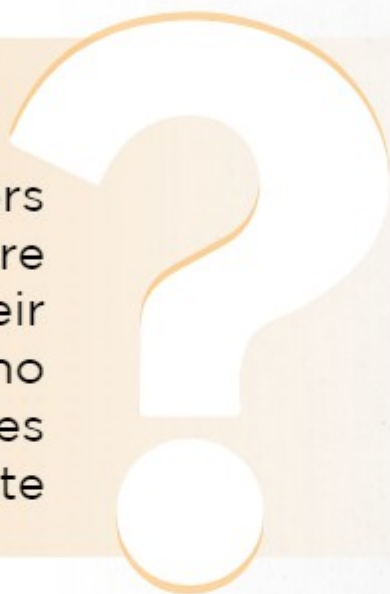
BEST ASSET CLASS



Future Plans for their Investments

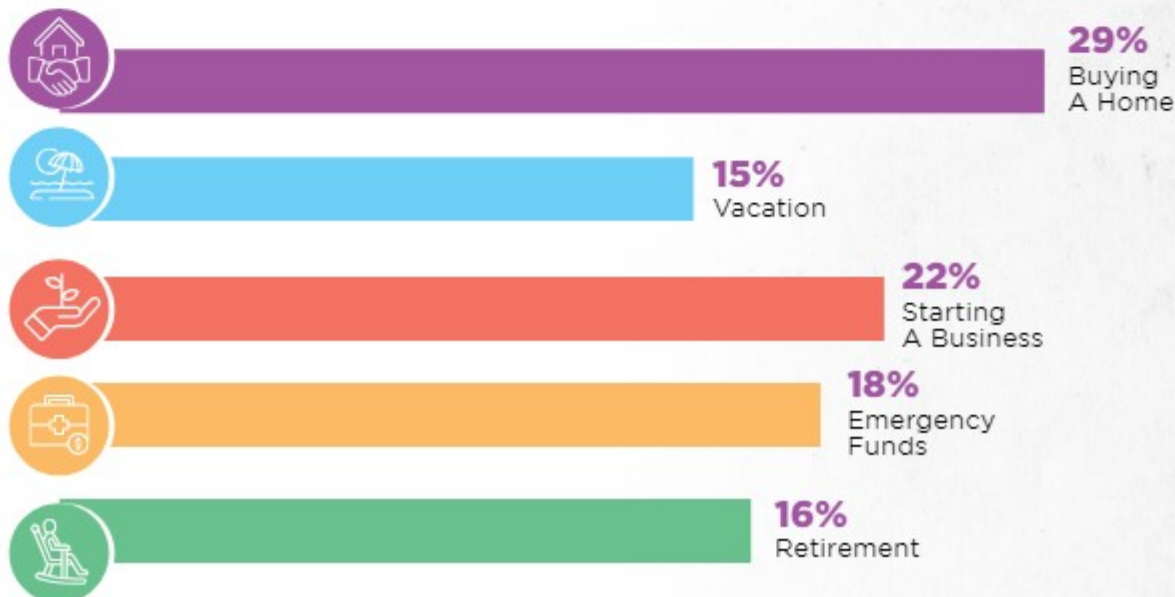


When we asked investors about their future plans / goals for their investment - those who chose other asset classes (40%) over real estate

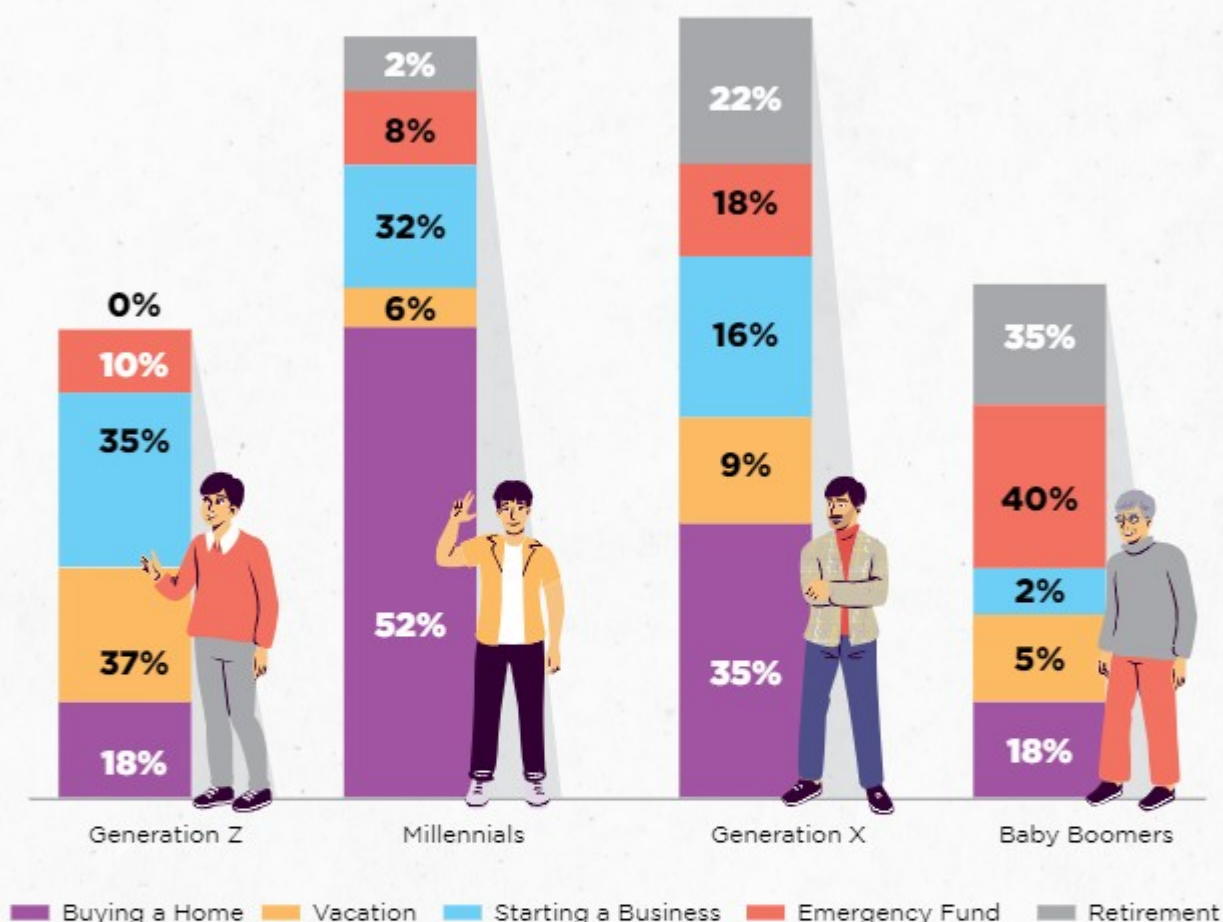


Investing in various asset classes is crucial for portfolio diversification, offering the opportunity to explore different avenues. According to the recent survey results, a noteworthy trend among investors is that a significant portion (29%) who currently allocate their capital into diverse assets ultimately find themselves drawn to Real Estate. As they amass capital gains, the alluring prospect of acquiring a property becomes an appealing option, offering long-term stability and growth.

The second most significant reason for investing, as indicated by 22% of respondents, is to use the capital gains to start a business in the future. Following closely behind, another 18% of the respondents prioritize building an emergency fund, while 16% are driven by the objective of saving for retirement. Additionally, 15% respondents allocate their investment gains towards fulfilling their dream vacation. These results demonstrate the varied financial goals and aspirations of investors, highlighting the importance of tailor-made investment strategies to achieve their objectives.



GENERATIONAL GAP IN INVESTORS' PRIORITIES



“52% Millennials & 35% Generation-X respondents intend to utilize their investment gains (from other asset classes) for purchasing a home in the future.”

End-use or Investment



END-USE VS INVESTMENT



“Over 81% of investors are looking to invest in peripheral or suburban areas.”

The Indian residential market is predominantly driven by end-users, with 67% survey participants buying properties for self-use. This trend is expected to continue in the second half of 2023 as well because homeownership provides immense satisfaction and security, especially during uncertain times and exigencies.

That said, there has been a notable shift in recent times. When compared to the H1 2022 survey, there has been a 2% increase in the proportion of participants who are buying a property from investment perspective rather than for self-use. But in comparison to H1 2019, there has been a 9% jump in the number of investors. At present, a significant 33% of buyers aim to purchase a property from an investment perspective. This change underscores the growing trend of viewing real estate as a profitable investment avenue, attracting individuals seeking to leverage the potential returns offered by the property market.

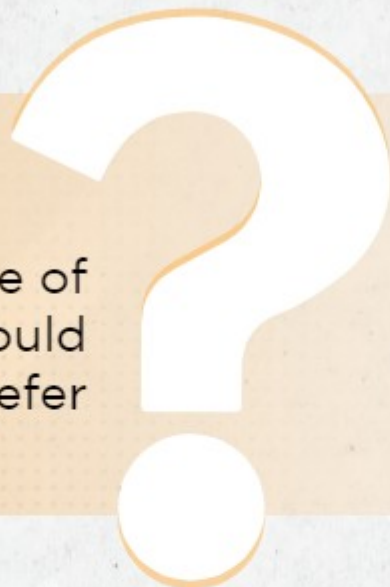
Interestingly, over 81% of investors are looking to invest in peripheral and suburban areas while majority end-users' favourable budget range is between INR 45 lakh to INR 90 lakh.



Preferred Stage of Construction



What stage of property would you prefer



Demand for ready homes remains strong among buyers, however, there has been a noticeable shift between ready properties and new launches across various cities. As of H1 2023, the ratio of ready homes to new launches stands at 28:27. This indicates a significant reduction in the gap compared to H1 2020, where the ratio was 46:18.

One primary reason behind this shift is the increased supply of new projects from large and listed developers. These established developers have garnered higher confidence among prospective homebuyers due to their reputation for timely project delivery. In the past, new launches were mostly dominated by smaller players, leading to numerous delays in project completion, which eroded buyer confidence. Consequently, buyers primarily favoured ready homes.

Presently, the scenario is changed. With reputable and well-known developers entering the market, their new projects are witnessing remarkable growth in housing sales. This renewed trust in the capabilities of established developers has led to a greater interest in new launches, narrowing down the preference gap between ready homes and new projects in the real estate market.

“Ratio of ready homes to new launches in

H1 2023 is **28:27**
VS

46:18 in H1 2020”

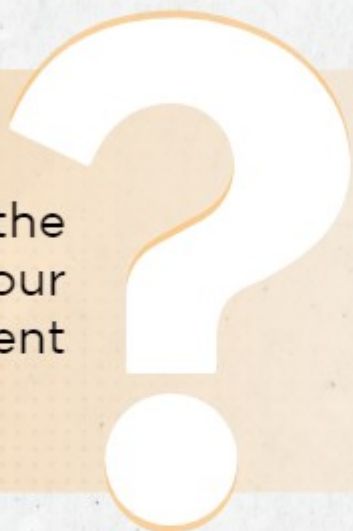
CONSTRUCTION STAGE PREFERENCE AMONG HOME BUYERS



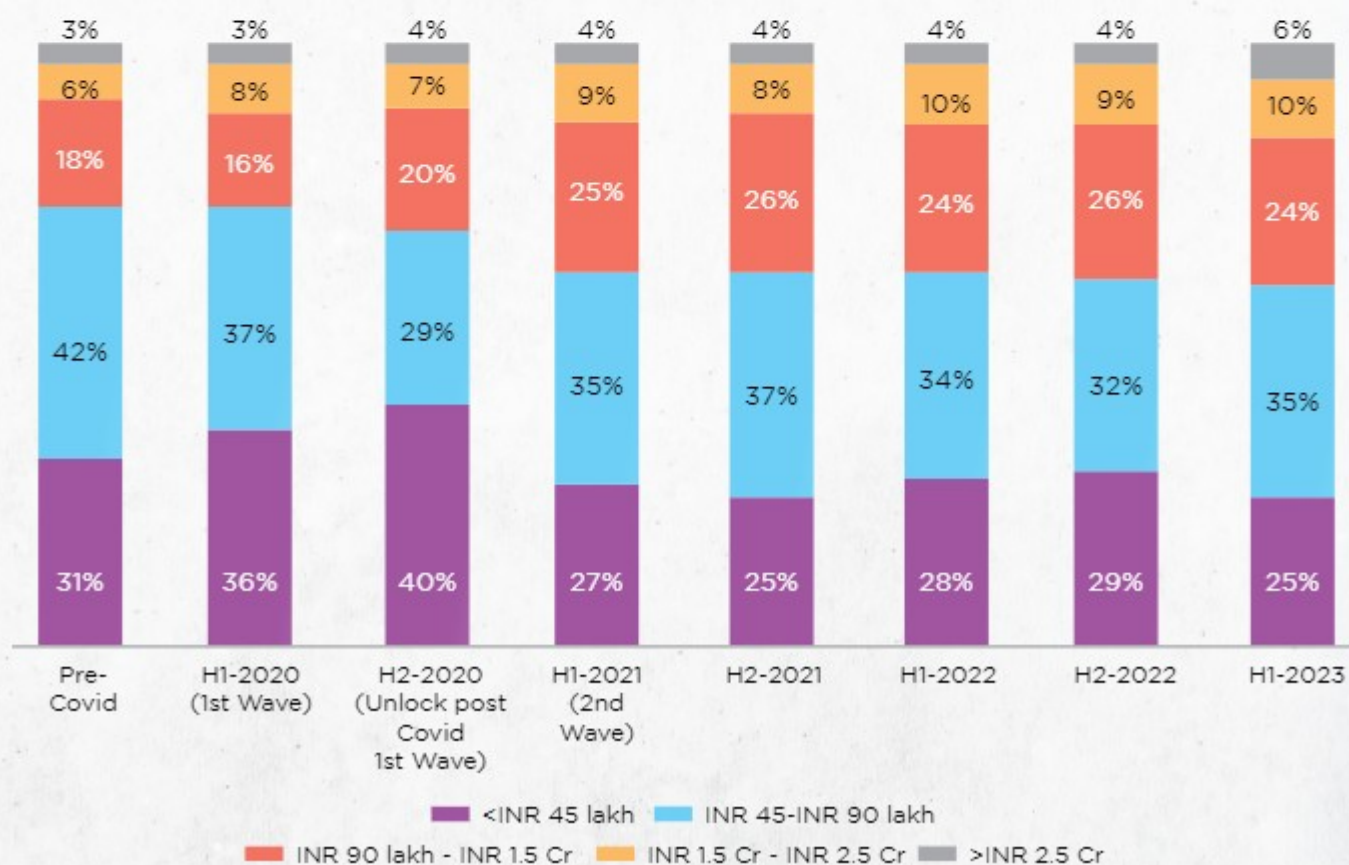
Ideal Budget Range



What is the budget for your investment



PREFERRED BUDGET-RANGE



According to the survey results, the budget range of INR 45 lakh to INR 90 lakh emerged as the most favourable for over 35% of prospective homebuyers, closely followed by 24% preferring homes in the range of INR 90 lakh to INR 1.5 crore. Over the past two and a half years, there has been a noticeable shift in demand, with a 10% increase in the share of homebuyers opting for mid category homes.

In contrast, the demand for affordable housing has experienced a decline, dropping from 40% in H2 2020 to 28% in H1 2022 and further down to 25% in H1 2023. The impact of inflation and economic slowdown on the target audience of affordable housing led them to adopt a cautious 'wait-and-watch' approach.

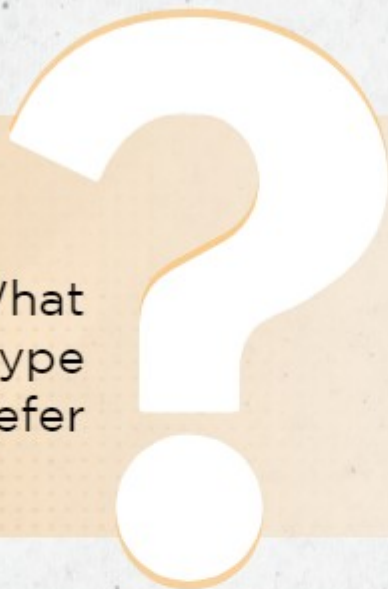
“ INR 45 Lakh
to INR 90
Lakh the
preferred
budget for
over 35%
respondents **”**



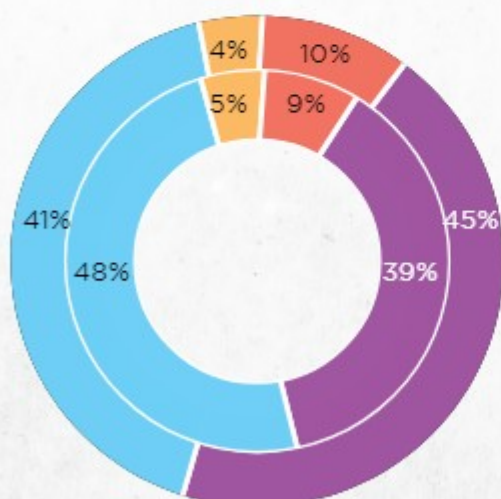
BHK Preference



What
BHK-type
do you prefer



PAN INDIA BHK CHOICES



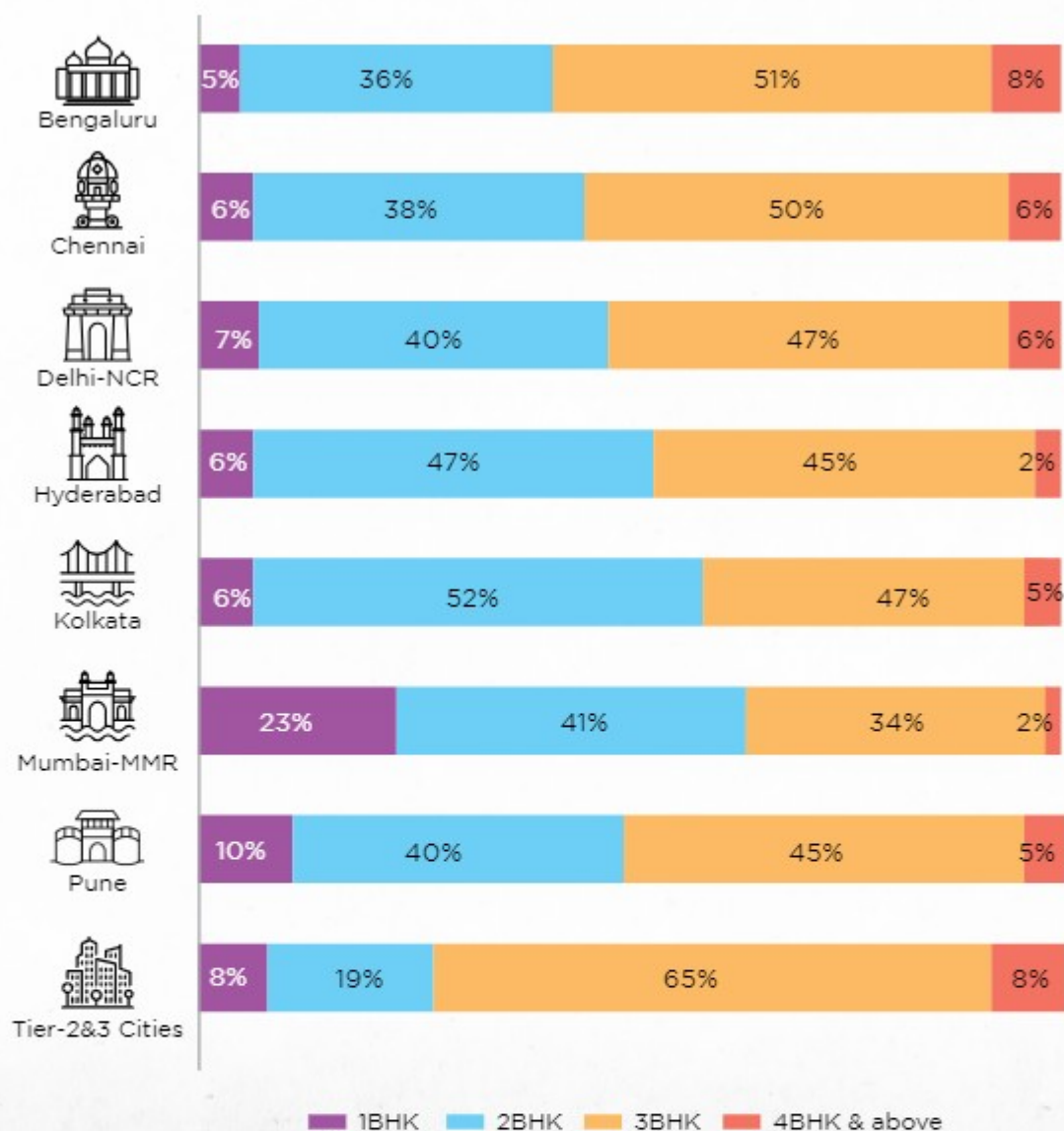
1BHK 2BHK
3BHK 4BHK & above

Inner circle: H1-2023 | Outer Circle: H1-2022

Demand for 3BHKs surpassed that of 2BHKs. Current survey results indicate that 48% of property seekers now prefer 3BHK units, while 39% prefer to buy a 2BHK apartment. If we compare it with previous year's survey, demand for 3BHKs has been on the rise – from nearly 41% in H1 2022 to nearly 48% in H1 2023. This trend signifies the growing preference for large and bigger homes despite life returning to normalcy post the pandemic. Post Covid in 2020, we saw demand for 3BHKs increase significantly amid work-from-home and e-schooling realities. Today, despite life returning to normalcy and global economic slowdown which invariably impacts the residential market back in India, the demand for bigger homes has only grown further among prospective homebuyers. This signals the positive market sentiments back in India.

“Bigger homes dominate buyer demand; 48% respondents prefer 3BHKs”

CITY WISE BHK PREFERENCE

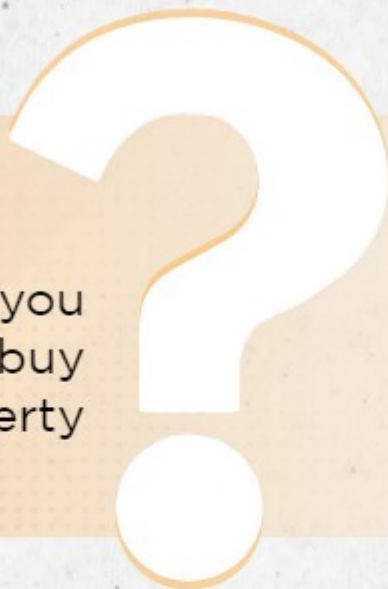


On deep-dive, it emerges that demand for 3BHK apartments is particularly high in cities like Bangalore, Chennai, and Delhi-NCR, with majority survey respondents preferring it over other BHK types. Alternately, in cities like Kolkata (52%), Mumbai Metropolitan Region (MMR-41%), and Hyderabad (47%), majority respondents preferred 2BHK apartments as their most favorable BHK-typology. Interestingly, 1BHK units are in demand only in MMR and Pune, where 23% and 10% of the survey respondents, respectively, voted in favor of this option. This data highlights the varying preferences for apartment sizes in different cities across the country.

Preferred Location



Where do you
intend to buy
your property



Demand for homes in the city peripheries remains strong, with 39% survey respondents preferring it over other areas. Homebuyers are attracted to the peripheries largely because of the availability of a bigger home at relatively affordable prices.

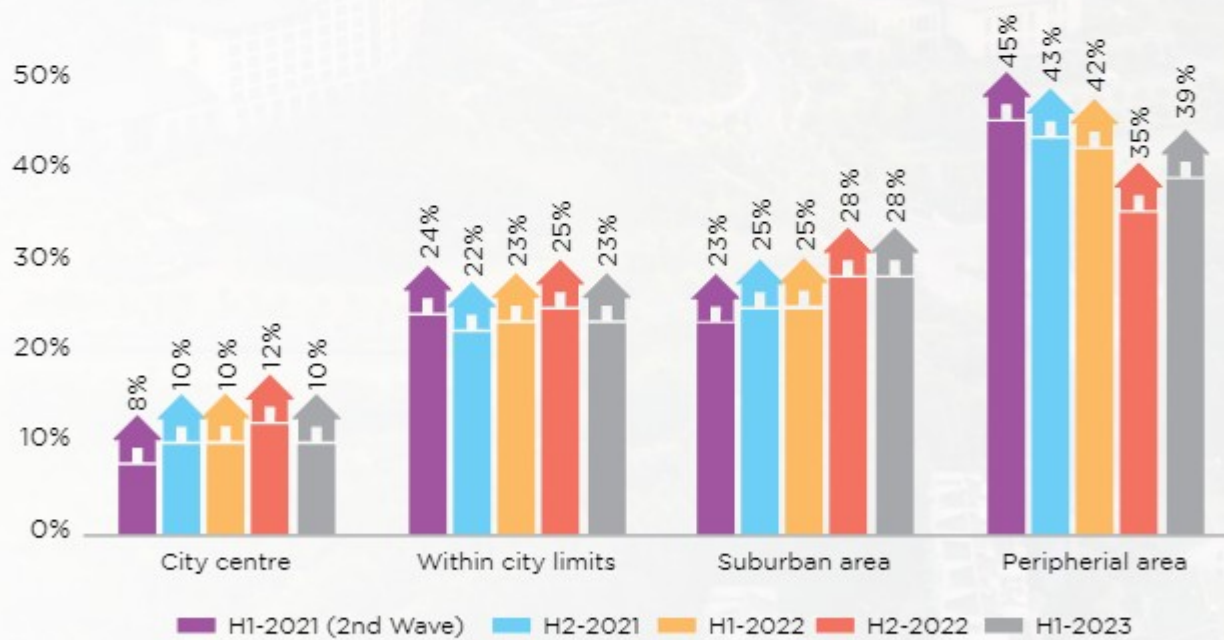
The increasing popularity of the hybrid work model has also influenced this trend. Many offices have adopted the hybrid work model, requiring employees to work from office for a few days a week. This flexibility allows individuals to consider living in the peripheries while still being able to commute to work when needed.

However, it's worth noting that the preference for buying homes in peripheral areas has declined over the past two and a half years. In H1-2021, 45% of respondents favored these areas, but this number has decreased to 39% in H1 2023. Consequently, there has been a shift in inclination back towards suburban areas. In the current survey (H1 2023), 28% of respondents chose suburban areas as their first choice for buying a home, compared to only 23% (H1 2021) who preferred suburban areas.

Interestingly, investors (61%) largely preferred peripheries where scope for price appreciation is still more while end-users (39%) preferred suburban areas or city-centres where they can live presently and commute to their workplace.

“61% Investors
& 39%
end-users
preferred
peripheries
for buying a
home”

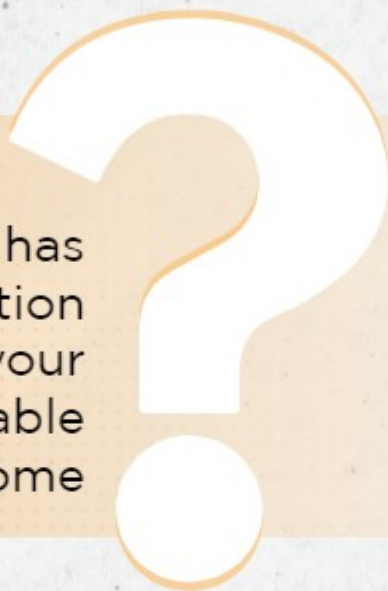
LOCATION PREFERENCE AMONG HOME BUYERS



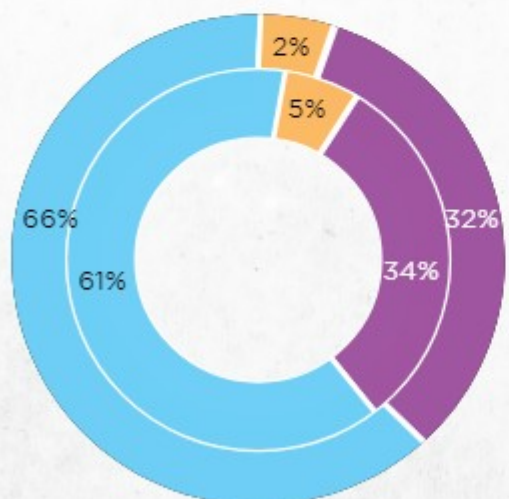
High Inflation



How has high inflation affected your disposable income



INFLATION AFFECT ON DISPOSABLE INCOME



■ Insignificant ■ Moderate ■ Major

Inner circle: H1-2022 | Outer Circle: H1-2023

In latest survey (H1 2023), at least 66% of the respondents cited that inflation had a major impact on their disposable incomes. This number has risen from 61% in the previous year's survey (H1 2022), indicating a heightened financial strain on individuals and households.

The persistent rise in inflation rates globally, and in India, especially since the onset of the pandemic and Ukraine war, has indeed directly affected the disposable incomes of numerous individuals. An additional 32% of the respondents reported a moderate impact, while a mere 2% stated that the impact on their disposable incomes was insignificant. This data highlights the widespread economic challenges posed by increasing inflation, which can erode purchasing power, decrease the standard of living, and create financial strain for individuals and households. The rising cost of living and reduced real wages can be particularly burdensome for those with fixed incomes and limited financial flexibility.

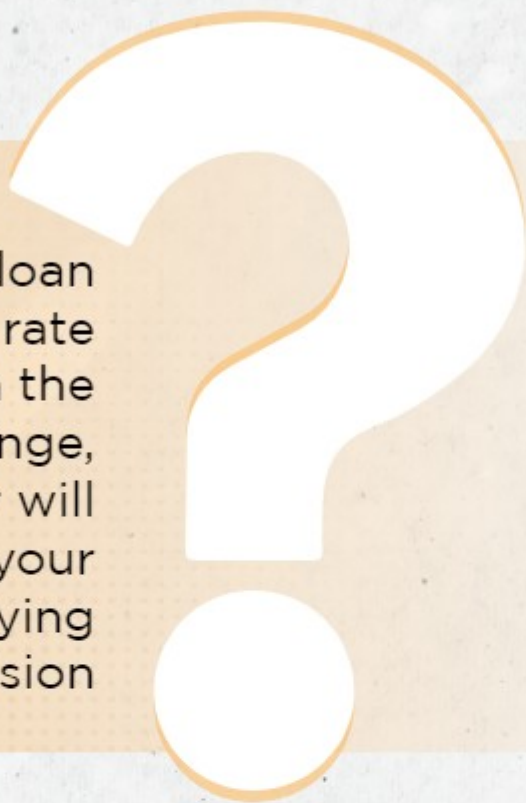
“Inflation has impacted disposable incomes of over 66% survey respondents”



Impact of home Loan Rates



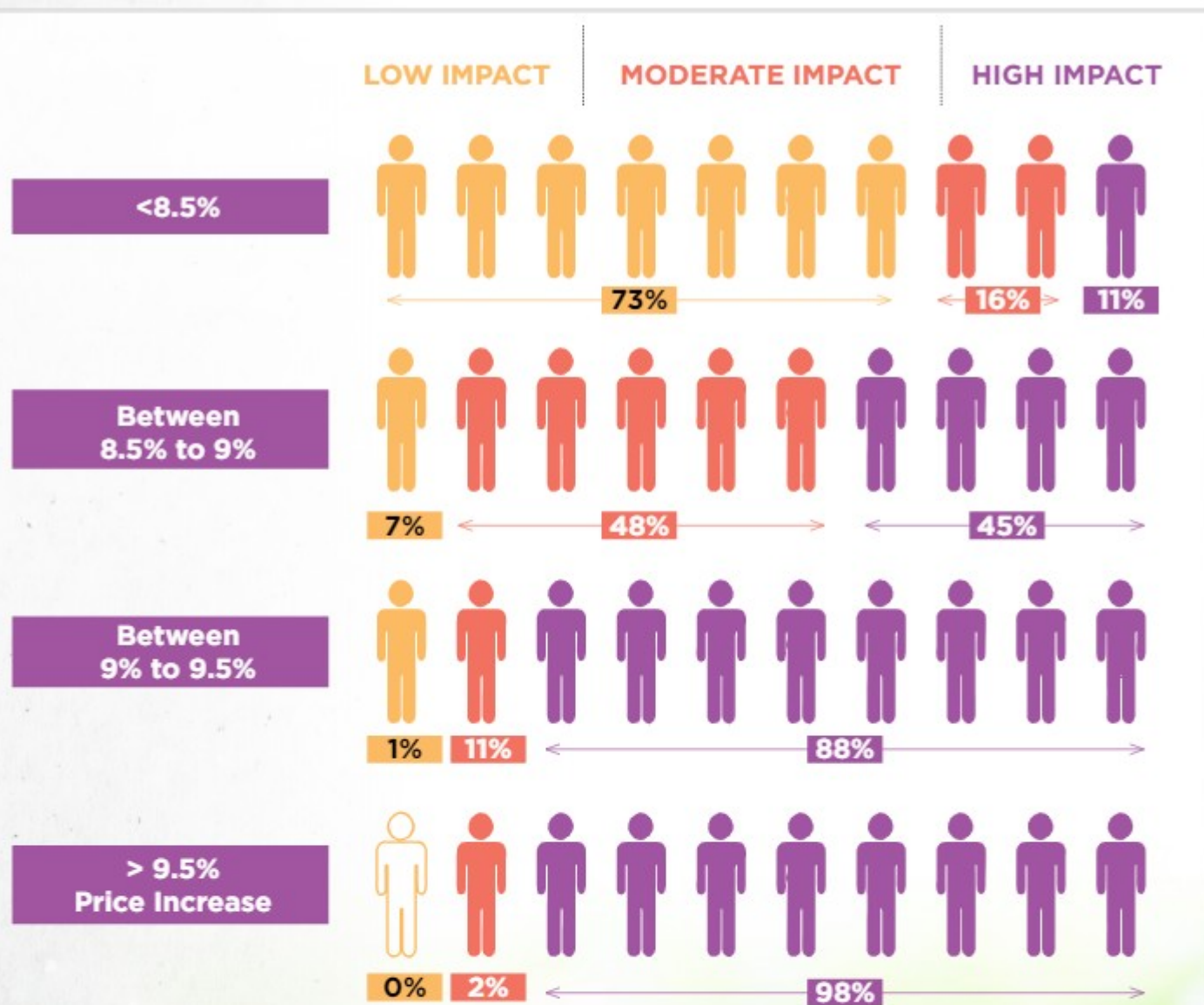
If home loan interest rate increases in the below % range, how deeper will it impact your home buying decision



The low home loan rates during the pandemic spurred housing sales across the country, but subsequent repo rate hikes by the RBI from 2022 to 2023 (250 bps) led to higher home loan rates, now averaging 9% upwards across most banks. In fact, the floating interest rates for home loans up to INR 30 lakh have jumped up from 6.7% in mid-2021 to nearly 9.15% today. This has resulted in 20% hike in EMIs for these affordable home buyers over the last two years.

In present survey, over 73% respondents stated that their home buying decision would not be impacted if rates hover below 8.5%, while if it breaches the 9% mark it would have a very 'high impact' on their home buying decisions. For rates between 8.5% to 9%, around 48% of respondents anticipate a 'moderate impact' on their decision-making.





More about your city residential market



MMR

Zone	Average Budget Range for 2BHK	Average Rate/Sqft	H1-2023 Sales
Mumbai Central Suburbs	1.6 Cr - 2.5 Cr	20,100	72,700 Homes sold Up by 33% Compared to last year same period
Mumbai Western Suburbs	1.8 Cr - 2.5 Cr	22,200	
South Central Mumbai	3 Cr - 4 Cr	35,600	
Peripheral Central Suburbs	35 lakh - 55 lakh	5,500	
Peripheral Western Suburbs	40 lakh - 55 lakh	5,850	
Navi Mumbai	70 lakh - 1 Cr	8,050	
Thane	95 lakh - 1.20 cr	10,250	



NCR

Zone	Average Budget Range for 2BHK	Average Rate/Sqft	H1-2023 Sales
Gurgaon	85 lakh - 1.2 Cr	6,900	33,600 Homes sold Down by 2% Compared to last year same period
Noida	80 lakh - 1.10 Cr	5,550	
Greater Noida	38 lakh - 50 lakh	4,100	
Ghaziabad	40 lakh - 60 lakh	3,800	
Faridabad	40 lakh - 50 lakh	3,650	



BENGALURU

Zone	Average Budget Range for 2BHK	Average Rate/Sqft	H1-2023 Sales
Central Bengaluru	1.4 Cr - 1.8 Cr	11,750	30,700 Homes sold Up by 23% Compared to last year same period
East Bengaluru	52 lakh - 60 lakh	5,600	
North Bengaluru	55 lakh - 65 lakh	5,800	
South Bengaluru	50 lakh - 56 lakh	5,300	
West Bengaluru	52 lakh - 60 lakh	5,550	



PUNE

Zone	Average Budget Range for 2BHK	Average Rate/Sqft	H1-2023 Sales
Central Pune	1.3 Cr - 1.8 Cr	15,700	40,600 Homes sold Up by 53% Compared to last year same period
East Pune	55 lakh - 65 lakh	6,050	
North Pune	50 lakh - 60 lakh	5,400	
South Pune	55 lakh - 70 lakh	6,100	
West Pune	60 lakh - 75 lakh	7,300	

More about your city residential market



KOLKATA

Zone	Average Budget Range for 2BHK	Average Rate/Sqft	H1-2023 Sales
Kolkata Central	90 lakh - 1.10 lakh	13,700	12,000 Homes sold Up by 11% Compared to last year same period
Kolkata East	35 lakh - 45 lakh	4,650	
Kolkata North	30 lakh - 35 lakh	4,050	
Kolkata South	35 lakh - 50 lakh	4,550	
Kolkata West	30 lakh - 35 lakh	3,800	



CHENNAI

Zone	Average Budget Range for 2BHK	Average Rate/Sqft	H1-2023 Sales
Central Chennai	1.6 Cr - 2 Cr	16,350	11,350 Homes sold Up by 29% Compared to last year same period
North Chennai	50 lakh - 60 lakh	5,100	
South Chennai	45 lakh - 55 lakh	5,300	
West Chennai	50 lakh - 60 lakh	6,050	



HYDERABAD

Zone	Average Budget Range for 2BHK	Average Rate/Sqft	H1-2023 Sales
Central Hyderabad	85 lakh - 1 Cr	7,100	27,800 Homes sold Up by 14% Compared to last year same period
East Hyderabad	45 lakh - 55 lakh	4,100	
North Hyderabad	50 lakh - 60 lakh	4,250	
South Hyderabad	40 lakh - 50 lakh	4,200	
West Hyderabad	60 lakh - 70 lakh	5,600	



Key Emerging Trends



HOMEBUYERS' DEMAND FOR PERIPHERAL AREAS SHRINKS

Post COVID-19, we saw the 'walk-to-work' concept shed much of its popularity while city peripheries gained traction. Now, when life has returned to normalcy, demand for peripheral areas is seen to be shrinking, particularly by the end-users. Meanwhile, investors still prefer the peripheral areas for investing in a property because here the scope of appreciation is relatively higher. As per survey findings, 45% respondents favored the peripheries back in H1 2021 which decreased to 39% in H1 2023. Consequently, there has been a shift in inclination back towards suburban areas. In the current survey (H1 2023), 28% respondents chose suburban areas as their first choice for buying a home, compared to only 23% (H1 2021) who preferred suburban areas.

HIGH INFLATION HAS IMPACTED DISPOSABLE INCOMES OF OVER 66% SURVEY RESPONDENTS

For at least 66% respondents in the latest survey (H1 2023), inflation had a major impact on their disposable incomes. This number has risen from 61% in the previous year's survey (H1 2022), indicating a heightened financial strain on individuals and households. The persistent rise in inflationary trends globally and in India, especially since the onset of the pandemic and Ukraine war, has directly impacted the disposable incomes of numerous individuals. An additional 32% of the respondents reported a moderate impact, while a mere 2% stated that the impact on their disposable incomes was insignificant. While presently, its impact is yet to be

felt in the housing sales across cities, but any further increase could impact the residential sales.

'HIGH IMPACT' ON HOUSING SALES IF HOME LOAN RATES BREACH 9.5% MARK

Prevailing low home loan rate was one of the key factors driving housing sales across the country since the pandemic - reaching as low as 6.5% for a limited period. But now with interest rates breaching the 9%-mark post 250 bps hike by RBI (to curb inflation) since mid-2022, we have now entered the red zone. Any further rate hike, particularly if interest rates breach the 9.5%-mark, there will be a 'high impact' on residential sales, state 98% survey respondents.

48% RESPONDENTS PREFER 3BHK'S WHILE 39% FAVOUR 2BHK'S

Demand for 3BHK's superseded 2BHK's in H1 2023 survey. Latest survey results indicate that 48% of property seekers now prefer to buy a 3BHK home over other configurations, while 39% still prefer to buy a 2BHK unit. If we compare it with previous year's survey, demand for 3BHK's has been on the rise - from nearly 41% in H1 2022 to nearly 48% in H1 2023. This trend signifies the growing preference for large and bigger homes despite life returning to normalcy post the pandemic.

Interestingly, among top cities, demand for 3BHK's is particularly high in Bangalore, Chennai, and Delhi-NCR where majority respondents prefer 3BHK's over other BHK-types. Alternately, in Kolkata (52%), MMR (41%), and Hyderabad (47%), the majority respondents preferred 2BHK's over other BHK-typologies.

AFFORDABLE HOUSING DEMAND SHRINKS TO 25% IN H1 2023

Demand for affordable housing continues to witness a decline - from 40% in H2 2020 to 28% in H1 2022 and further down to 25% in H1 2023. The impact of inflation and economic slowdown on this target audience led them to adopt a cautious 'wait-and-watch' approach.

In contrast, the budget range of INR 45 lakh to INR 90 lakh emerged as the most favourable for over 35% of prospective homebuyers, closely followed by 24% preferring homes in the range of INR 90 lakh to INR 1.5 crore. Over the past two and a half years, there has been a noticeable shift in demand, with a 10% increase in the share of homebuyers opting for mid and premium category homes.

RATIO OF READY HOMES TO NEW LAUNCHES IS 28:27 IN H1 2023 AGAINST 46:18 IN H1 2020

Demand for ready homes remains strong among buyers, however, there has been a noticeable shift between ready properties and new launches across various cities. As of H1 2023, the ratio of ready homes to new launches stands at 28:27. This indicates a significant reduction in the gap compared to H1 2020, where the ratio was 46:18. One key reason for this shift is the increased new supply by large and listed developers. These established developers have garnered higher confidence among prospective homebuyers due to their reputation for timely project delivery.



ANAROCK

VALUES OVER VALUE

ANAROCK is India's leading independent real estate services company with a presence across India and the Middle East. The Company has diversified interests across the real estate lifecycle and deploys its proprietary technology platform to accelerate marketing and sales. The ANAROCK services suite includes Residential Broking & Technology, Retail (in partnership with Vindico), Commercial, Investment Banking, Hospitality (in partnership with HVS), Land Services, Industrial and Logistics (in partnership with Binswanger), Investment Management, Research, Strategic Advisory & Valuations and Project Management Services (in partnership with Mace), Flexi Spaces (in partnership with myHQ & Upflex) and Society Management Services (acquisition of ApnaComplex-India/ANACITY-EMEA).

ANAROCK has a team of over 2200+ certified and experienced real estate professionals who operate across all major Indian and Middle East markets. ANAROCK also manages over 80,000 established channel partners to ensure global business coverage.

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